

Dr Reddys Laboratories Ltd

NSE: DRREDDY | Healthcare

ROE

19.7%

ROCE

26.5%

OPM (Latest)

28.0%

Debt / Equity

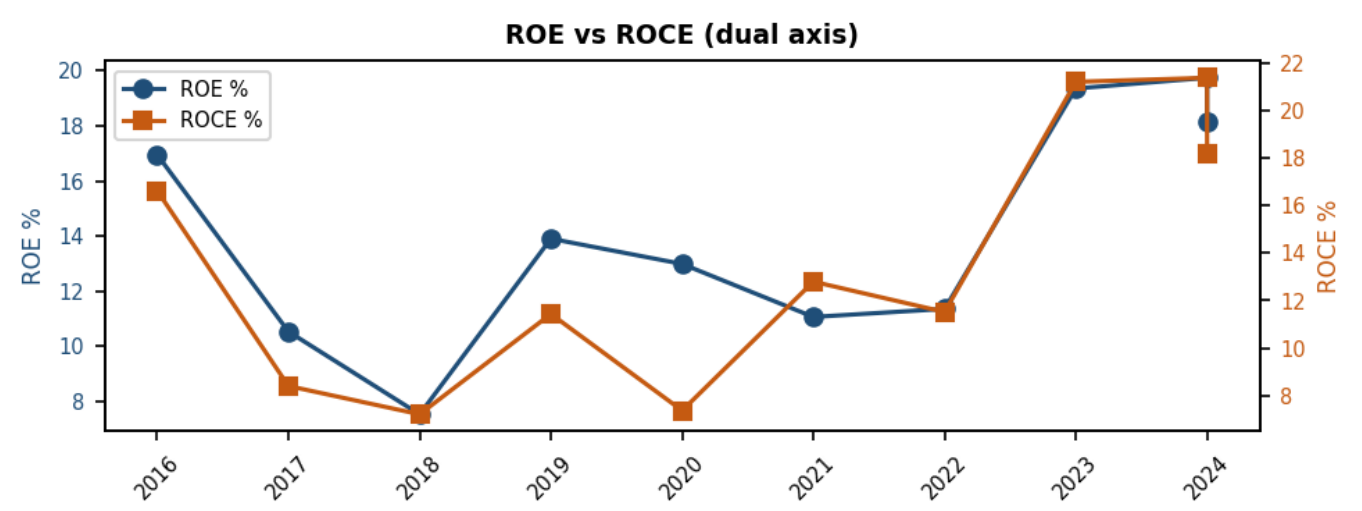
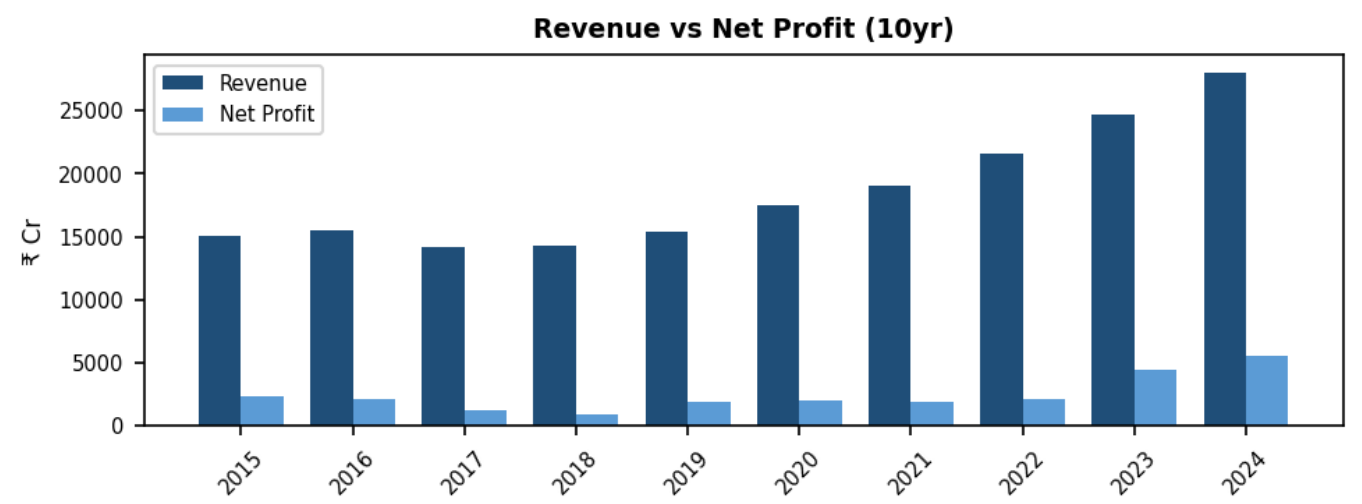
0.07

Market Cap

2,441,803 Cr

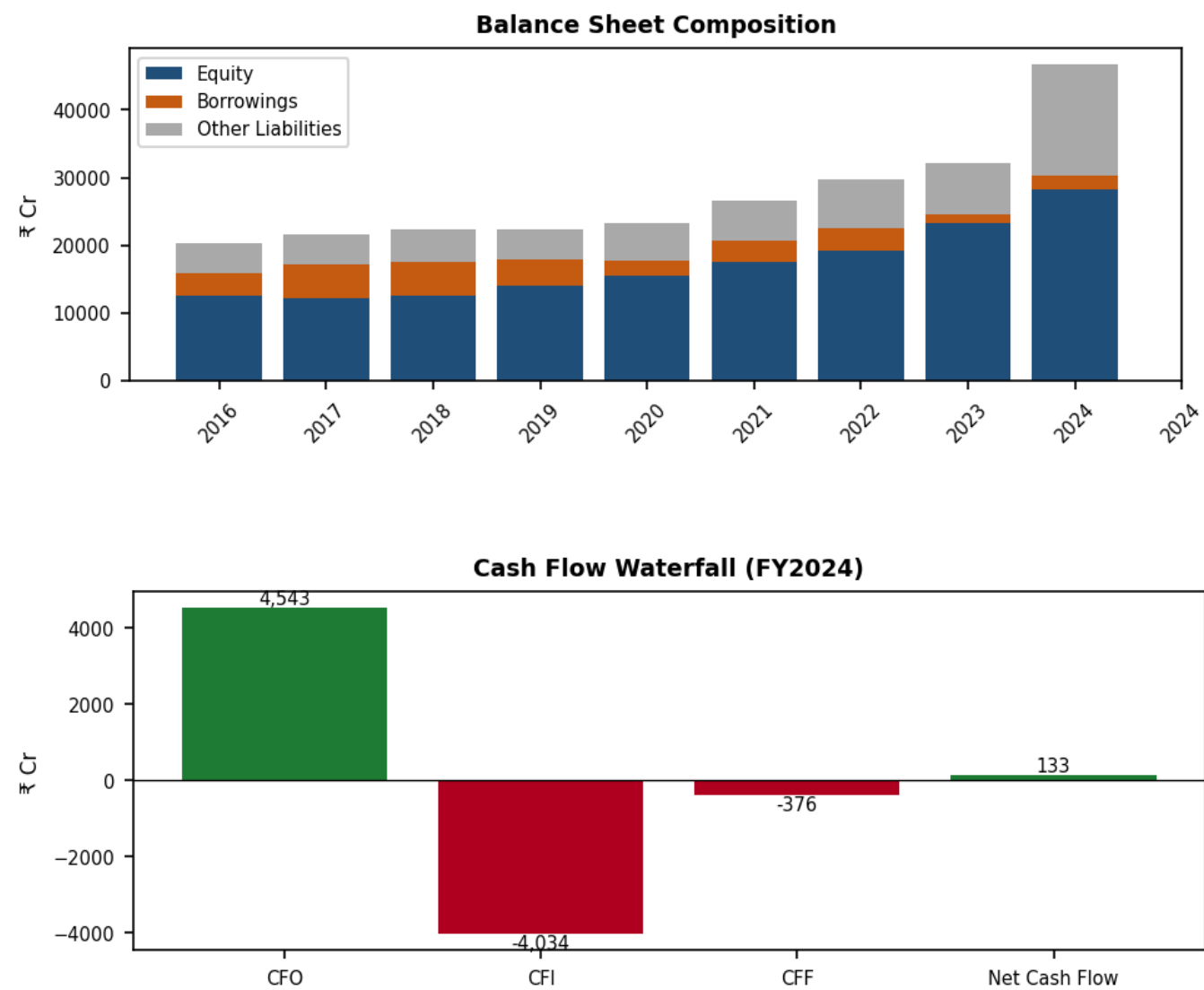
Revenue (Latest)

28,011 Cr



Dr Reddys Laboratories Ltd

NSE: DRREDDY | Cash Flow & Qualitative Summary



Pros

- + Strong free cash flow generation over 5 years signals healthy business fundamentals
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Very high interest coverage ratio reflects negligible financial stress from debt servicing
- + Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- + Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- No red flags were identified across the screened leverage, cash-flow and profitability checks this year, though valuation and macro-cycle sensitivity remain standard risks worth monitoring

Capital Allocation Pattern: Reinvestor